

A: Absolutely. I take pride in the fact that Merck is tapping into major macro trends driving the world.

Take bio-electronics (merging biology and electronics), where we are extremely well-positioned to tap into the new frontier of innovation, once bio-convergence becomes a tangible reality. That can create future value for our companies.

Q: Future planning is more critical now than it ever was. How do you go about that?

A: As a family-owned company, we operate on a long-term basis. However, we also have public shareholders, who evaluate the company every quarter. We have the best of both worlds. One is the long-term thinking of our ownership structure, where the Merck family still owns 70% of the company; we are now in the 13th generation. Then, there are financial markets and investors, who expect us to generate value in the short term.

During Covid, we had to deal with the fire of the day, the crisis of the week, and make sure our supply chain stayed resilient. We did not lose sight of potential mergers and acquisitions (M&As) that would help us fill technology gaps or accelerate growth and innovation. The M&A environment has changed since. What we are looking at now is not only practical innovation but also acquiring innovation through M&As.

For example, Unity-SC, gets us into the metrolgy, which we believe is the next wave of growth or HUB Organoids, that allows us to reduce the use of animals for basic research, or Mirus Bio, for offerings in process solutions for cell and gene therapy.

I'm very proud of Springworks (a \$3.4-billion acquisition that Merck completed in July 2025).

Q: How have you gotten better with M&As over time?

A: In the past 15 years, Merck has grown at a compound annual growth rate of 8%—5% of that is organic and the rest inorganic. The competitive landscape in the sectors where we operate is intense. In life science, we continue to be in a podium position—far away from the other two players, but well-placed to compete in today's environment.

Healthcare is a tremendous and unique business. Half its portfolio lies in general medicine, cardio-metabolic, and fertility franchises.

We built the business from scratch in China, and today, the Asia-Pacific is our main source of revenue. We are strong in the US in life science and electronics, which came largely from inorganic moves.

As a company, we are now at an inflection point, where scale is no longer a problem, but we need innovation. We need to rejuvenate our portfolio and participate in the next technology frontier. The company has gone through a period in which our organic growth was solid enough for us not to be in a hurry.

In life science, the multiples became absolutely outrageous during the pandemic. Now, the value has come down. If the business case does not work, we will be patient. If you look at the growth that we have generated, why should we be in a hurry? That's our philosophy. The next frontier is continue tapping into new technologies and build the business of the next decade.

We are also diversifying our sources of innovation. Traditionally, we have acquired innovation from North America and the US, which we will continue to do. But now we have executed several

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licences in China. India is now becoming an innovation-led country, and we are very closely looking at what is emerging here, to make sure we can position ourselves for the growth over the next few years.

Q: Is it important for a company like yours to be little conservative in today's volatile global environment?

A: I wouldn't call us conservative. I think we are disciplined and have taken risks over the years. Those are clearly paying off.

The family ownership has allowed us the space to be creative and bold. In the current environment, we are prudent and not at all risk-averse. As you have seen, we continue to not only have a very consistent delivery of organic, profitable growth, but we also tap into new technologies that will give growth. **BT**

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